

Afro Deli Woodbury — Comprehensive Franchise Business Plan

AFRO DELI - WOODBURY, MINNESOTA

Comprehensive Franchise Business Plan (All-Equity Investor Structure)

Prepared for: Koo Ok, Owner-Operator **Prepared:** August 2026 **Status:** Pre-FDD Financial Projections (Subject to Franchisor Verification)

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1. Executive Summary

Metric	Value
Business Concept	Afro Deli Franchise — African-Mediterranean fusion fast-casual

Metric	Value
Proposed Location	Woodbury, Minnesota
Total Investment	\$300,000
Capital Structure	100% investor equity — no debt, no SBA, no personal guarantee
Projected Year 1 Revenue	\$637,650
Projected Year 1 EBITDA	\$93,478 (14.7% margin)
Projected Year 1 Net Cash Flow	\$93,478 (no debt service)
Year 1 Return on Capital	31.2%
EBITDA Break-Even	Month 2
Cumulative Cash Positive	Month 3
Stress Case (Yr 1)	–20% covers / 32% COGS → still \$36,090 EBITDA (12% ROI)
5-Year Cumulative Cash	\$786,978 (262% on \$300K, ≈29% CAGR)
Recommendation	Raise \$300K investor equity; proceed with Woodbury site selection subject to FDD review and lease approval

Thesis in one line: a proven, debt-free franchise model with 12+ years of operating history and \$1.37M in combined existing revenue, entering an affluent, under-restauranted suburb with zero direct competition — \$300K of investor capital targets a 31% Year-1 return with no leverage.

2. Company Overview

2.1 The Brand

Afro Deli is a fast-casual African-Mediterranean fusion restaurant concept rooted in the Twin Cities. Founded as a social enterprise, it weaves African, Mediterranean, and American cuisine in a fast, family-friendly environment. All dishes are made fresh and prepared halal.

- **3 operating locations** in the Twin Cities metro, **12+ years** of continuous operation
- **\$1.37M combined annual net sales** across existing locations
- **25.7% of revenue from catering** — a proven institutional model
- **17.1% of revenue from third-party delivery**
- Regular presence at the **Minnesota State Fair** — deep local brand recognition
- **Social enterprise mission:** community hiring, cultural programming, and halal food access — a genuine differentiator from commercial operators

2.2 The Franchise Model

This plan covers the **first suburban franchise unit** of Afro Deli — Woodbury, MN. The franchise agreement includes a standard structure of 6% royalty + 2% marketing fund (to be verified against the FDD), franchisee training, approved supplier list, and territorial rights (Woodbury-specific, to be confirmed).

Why franchise vs. independent: the franchisor provides brand recognition, proven recipes and SOPs, an established catering playbook, buying power on specialty ingredients, and training — while the operator avoids the multi-year trial-and-error of concept development. The model’s unit economics are already validated by three real locations (Section 13).

2.3 Ownership & Structure

Element	Detail
Owner-Operator	Koo Ok (full-time, on-site)
Entity	LLC to be formed (Minnesota)
Capital	\$300,000 investor equity; zero debt
Investor terms	Illustrative: 8% preferred return + 60/40 profit split (negotiable)
Governance	Quarterly investor reporting; operator KPI dashboard (Section 11)

3. Industry Analysis

3.1 Fast-Casual Restaurant Sector

- The US restaurant industry continues to outpace grocery, with **fast-casual the fastest-growing segment** — driven by quality/price balance and the “elevated convenience” trade-up from QSR
- Unit economics favor **limited-menu concepts with catering and delivery** — both of which Afro Deli already operates (25.7% and 17.1% of sales)
- **Off-premise (delivery + catering + takeout) now exceeds 50% of industry sales** at the margin — Afro Deli’s existing channel mix is structurally aligned with where the industry is going

3.2 Halal Food Market

- The global halal food market is projected to exceed **\$2T by 2030**, growing faster than conventional food
- The US halal restaurant segment is **undersupplied relative to demand** — halal certification is a trust signal that commands loyalty, not a niche
- Minnesota is home to **one of the largest Somali/East African communities in the US** (estimated 50,000-80,000 in the Twin Cities metro) — an anchor customer base with deep cultural connection to the menu, plus a broader health-conscious and Muslim-family audience

3.3 Catering & Business Dining

- US business/corporate catering is a **multi-billion-dollar annual market**, and office return-to-work trends favor food-service vendors with established B2B relationships
- Afro Deli's existing locations derive **25.7% of revenue from catering** — an institutional playbook (medical campuses, corporate offices, schools, community events) that transfers directly to Woodbury's larger institutional base

3.4 Twin Cities Dining Context

- The metro is a **top-10 US food-city market** with strong independent-restaurant culture and growing ethnic cuisine demand
- Suburban dining density lags urban cores — suburbs like Woodbury are **under-served for differentiated ethnic concepts**, which is precisely the gap this plan exploits

4. Market Analysis — Woodbury

4.1 Why Woodbury? — Market Selection Rationale

Three Twin Cities suburbs were evaluated: **Woodbury**, **Minnetonka**, and **Edina**. Woodbury is the clear winner:

1. Population & Growth (Critical Mass) — ~75,000 residents, growing +12% since 2020 — three times faster than Minnetonka (+4%), four times faster than Edina (+3%). New households are actively forming dining habits; a new concept entering now captures the “shaping” of those habits.

2. Affluence Without Saturation — median household income \$117,000 (≈ Edina's \$120K, above Minnetonka's \$105K), but restaurant density per capita is significantly lower: Edina has 186+ restaurants for 54,000 residents; Woodbury ~140 for 75,000. More people, fewer options.

- 3. The Daytime Surge Advantage** — a 30–40% daytime population surge from Woodwinds Health Campus (major medical employer), the I-94 corporate corridor (3M, Ecolab, State Farm regional offices), and regional retail power centers. This drives lunch traffic AND catering demand — both validated by existing locations (55.7% lunch / 25.7% catering).
- 4. Catering Infrastructure is Pre-Built** — Woodbury’s institutional base (medical, corporate, schools) is larger and more corporate-heavy than the existing locations serve. The 25.7% catering model transfers directly.
- 5. Zero Direct Competition** — no African-Mediterranean fusion, halal-first positioning, or cultural storytelling concept exists in the market (Section 5).
- 6. Real Estate Economics** — lease rates \$20–\$25/sq ft NNN are 10–30% below Minnetonka and 20–40% below Edina; permitting takes 4–6 weeks vs. 6–12 weeks elsewhere. Lowest entry cost, fastest path to opening.
- 7. Expansion Sequencing** — Woodbury (Yr 1) → Minnetonka (Yrs 3–5) → Edina express (Yr 5+): from largest market with lowest barriers to most expensive last, funded by Unit 1 cash flow.

Key Market Data — Comparative Table

Factor	Woodbury	Minnetonka	Edina
Population (2025 est.)	~75,000	~55,000	~54,000
Growth (2020–2025)	+12%	+4%	+3%
Median Household Income	\$117,000	\$105,000	120,000 DaytimeSurge 30–40/sq ft NNN)
Permitting Timeline	4–6 weeks	6–10 weeks	8–12 weeks
Restaurant Density	Lower (140/75K)	Medium	Higher (186+/54K)
Expansion Priority	Primary (Yr 1)	Secondary (Yr 3–5)	Future (Yr 5+)

4.2 Demographic Analysis

Metric	Value	Source
Population (2025 est.)	~75,000	Metro COG projection
Median Household Income	~\$117,000	ACS 5-year

Metric	Value	Source
Median Age	39	ACS 5-year
Households with Children (6-17)	~38%	ACS 5-year
Bachelor's Degree or Higher	~56%	ACS 5-year
Daytime Population Surge	+30-40%	Employment + medical draw
Median Home Value	~\$430,000	Zillow/Redfin

Target Customer Segments

Segment	% of Revenue	Profile
Families with Children	50%	Dual-income families seeking healthier, faster dinner options
Catering & Corporate	25%	Medical campuses, offices, schools — higher margin, strong repeat
Young Professionals & Couples	15%	Affluent millennials seeking unique global flavors
Daytime Workforce + Delivery	10%	Medical/office/retail workers + third-party delivery

5. Competitive Analysis

5.1 Direct Competitors (Woodbury)

Competitor	Category	Price Point	Key Strength	Afro Deli's Advantage
Naf Naf Grill	Mediterranean FC	~\$11-13	Established brand	African spicing, sambusas, cultural story
Chipotle	Mexican FC	~\$10-12	Speed, price, loyalty	Unique flavor, not a commoditized burrito
Panera Bread	Bakery-Café	~\$11-14	Breakfast/lunch, drive-thru, catering	Dinner-centric, bolder flavors, halal
Noodles & Co	Global FC	~\$10-12	Broad family appeal	Authentic cuisine, halal commitment
Crisp & Green	Health FC	~\$11-13	Health halo	Broader menu — flavor first

Positioning: none of the five offer African-Mediterranean fusion, halal-first certification, cultural storytelling, or sambusas/Chicken Fantastic/Somali rice bowls. The gap is structural, not marginal. Afro Deli’s \$15 average ticket sits at a premium to QSR competitors — justified by a differentiated, higher-perceived-value menu and validated by existing locations’ actual \$15.89 ticket.

5.2 Catering Competition

Woodbury catering options are dominated by generic corporate caterers and chain catering menus (Panera, Chipotle). None offer **halal, culturally authentic African-Mediterranean catering at scale** — the specific ask from medical campuses, schools, and corporate offices with diverse workforces. Existing locations already win this business in St. Paul/Minneapolis; Woodbury’s institutional base is larger.

5.3 Competitive Threats

- **Cava** (Mediterranean fast-casual) is expanding nationally and could enter Woodbury — its Mediterranean positioning overlaps, but it does not compete on African fusion, halal certification, or cultural identity
- **Independent imitation** within 2–3 years of success — mitigated by brand equity, catering relationships, and franchise system scale
- **Response:** first-mover advantage + relationship-based catering contracts are defensible moats

6. Marketing & Sales Plan

6.1 Brand Positioning

“Real African-Mediterranean food, made fresh, prepared halal — with a story worth telling.”

The brand’s social-enterprise identity (Section 12) is a marketing asset: Woodbury consumers increasingly choose restaurants with authentic cultural stories and community values.

6.2 Pre-Opening (budget: \$15,000)

Initiative	Detail
Launch event	Catered preview for Woodbury business leaders, medical campus administrators, school food-service directors

Initiative	Detail
Local SEO & maps	Google Business Profile, local keyword content, review system from day one
Community halo	Co-marketing with local mosques, East African community associations, cultural orgs; State Fair brand carryover
Social proof sprint	40+ reviews in first 60 days (table tents, QR cards, follow-up texts)
Teaser campaign	Geo-targeted social ads (Woodbury ZIPs) + signage at site during build-out

6.3 Ongoing (funded by 2% marketing fund + local initiatives)

Channel	Strategy
Catering B2B engine	Weekly outreach cadence: Woodwinds Health Campus, 3M, Ecolab, State Farm, schools; sample boxes; repeat-order program; dedicated coordinator
Digital	Meta geo-targeting, delivery-app promotions, loyalty program (families segment), email list
Dinner growth	Evening-specific promos attacking the #1 underpenetrated daypart (16.1% at existing locations → ~25% target)
Seasonal	School-year catering cycles, Q4 holiday catering push, summer patio program
Community	Sponsorships (soccer clubs, cultural festivals), school fundraising nights — high-ROI local trust-building

6.4 Sales Funnel Targets (Year 1)

- 40+ active catering accounts by Month 12 (targeting 15–20% of revenue)
- 40+ reviews/quarter sustained (4.5★+ rating)
- 17.1%+ of revenue from third-party delivery
- Loyalty program: 2,000+ members by Year 1 end

7. Operations Plan

7.1 Ideal Site Criteria

Criterion	Target	Rationale
Space	1,500–1,800 sq ft	Fits existing kitchen + FOH model
Configuration	Endcap or inline w/ patio	Dual-exposure signage; summer evening traffic
Anchor	Grocery-anchored power center	Woodbury Lakes, Tamarack Village, Valley Creek
Traffic	25,000+ VPD	Woodbury Dr, Valley Creek Rd, Tamarack Rd
Lease Rate	\$18–\$25/sq ft NNN (~\$3,000–\$4,200/mo)	Aligns with P&L
Parking	Shared lot, 50+ spaces	Peak lunch/dinner overlap
Visibility	Street-facing signage	Brand awareness for first suburban unit
Space type	Second-generation restaurant preferred	Existing kitchen = ~\$130K build-out savings

7.2 SWOT Analysis

Strengths: proven 12+ year model · 25.7% catering infrastructure · zero direct competition · all-halal positioning · existing Twin Cities brand + State Fair presence · 17.1% delivery channel · \$15.89 actual ticket · **zero-debt structure**

Weaknesses: first suburban unit · limited Woodbury awareness vs. nationals · 8% royalty+marketing burden · no drive-thru · owner-operator learning curve · dinner underpenetrated (16.1%)

Opportunities: 12% Woodbury growth · no fusion competitor · growing halal demand · larger institutional catering base · delivery growth · dinner runway (16.1% → 25%) · expansion units funded by Unit 1 cash flow

Threats: economic downturn · halal protein inflation · labor wage pressure · potential Cava entry · independent imitation · lease escalation at renewal · specialty ingredient supply chain

7.3 Menu Overview

Item	Description	Role
Chicken Fantastic	Somali rice + creole sauce	Signature entrée
Sambusas (beef / chicken / veggie)	Hand-folded pastry	Fan favorite / appetizer

Item	Description	Role
Lamb & Chicken Gyros	Spiced rotisserie	Lunch driver
Spiced Bowls	Proteins over Somali rice	Bowl-category competitor
Falafel / Hummus	Plant-based staples	Vegan/vegetarian option

- Average ticket **\$15.00** (actual \$15.89 — conservative); turn time 17.8 min
- **All-halal** + vegetarian/vegan options widen the addressable base
- **Catering menu:** family trays + institutional packages — the 25.7% engine

7.4 Supply Chain & Food Safety

Element	Detail
Halal certification	Approved halal suppliers (franchisor list, FDD-verified); certification maintained for all proteins
Specialty ingredients	Somali rice blends, berbere spice, sambusa wrappers — established franchisor supplier relationships
Food safety	ServSafe-certified management; MN Dept of Health compliance; HACCP-based procedures
Inventory	Par-level system; weekly ordering; waste tracking from Day 1 (COGS target 29%)

7.5 Technology & Systems

- **POS: Toast POS** (confirmed choice) — one platform covering point-of-sale, online ordering, delivery-app integration (DoorDash/Uber Eats — the 17.1% channel), a catering module (the 25.7% engine), kitchen display system, and built-in loyalty (the 2,000+ member program). Hardware (terminals, kitchen display, printers) + SaaS subscription; ongoing platform fees sit inside Other OpEx
- **Delivery:** DoorDash/Uber Eats/Grubhub integration (17.1% of existing sales)
- **Reporting:** daily sales/covers/catering dashboard; weekly P&L review vs. plan (Section 11 KPIs)
- **Catering CRM:** pipeline tracking for the B2B engine (Section 6.3)

7.6 Staffing & Training

- **8-12 FTEs** ramping with covers (Section 8.3)

- Franchisor training program for owner + management (FDD-verified) + on-site training at existing locations
- Cross-training: every FOH staff can cover 2+ stations; kitchen staff halal-food-handling certified
- **Labor target:** 30% of revenue including owner salary — conservative vs. 15–21% (excl. owner) at existing locations

7.7 Opening Timeline

Phase	Duration	Key Activities
Site selection + LOI	Weeks 1–4	Shortlist Tamarack Village / Woodbury Lakes / Valley Creek; LOI contingent on kitchen inspection
Lease negotiation	Weeks 4–8	\$18–\$25/sq ft NNN; landlord TI allowance; permit-ready condition
Permitting	Weeks 8–12	Woodbury 4–6 week process
Build-out	Weeks 12–20	Second-gen conversion (~\$120K); equipment; POS
Franchisor training	Weeks 18–22	Owner + management at existing locations
Soft opening	Week 22	Phased hours, limited menu
Grand opening	Week 24	Full menu, marketing launch, catering pipeline live

8. Management & Organization

8.1 Owner-Operator — Koo Ok

Full-time, on-site owner-operator. *(Bio to be completed: relevant restaurant/operations experience, management history, commitment to the social-enterprise mission.)*

- Compensation: \$60,000/year, included in the 30% labor assumption
- No outside employment — full operational commitment is a requirement of this plan

8.2 Organization

Owner-Operator (Koo Ok)

— General Manager (1)

| — Kitchen Lead + Cooks (2–3)

| — FOH / Cashier / Serving (2–3)

- └─ Delivery prep / Runner (1)
- └─ Catering Coordinator (0.5–1, ramps to full-time)

8.3 Staffing Plan (ramping with covers)

Role	Count	Notes
General Manager	1	Kitchen + FOH oversight; catering coordination
Kitchen Lead / Cooks	2–3	Halal food-handling certified
FOH / Cashier / Serving	2–3	Ramping with lunch/dinner build
Catering Coordinator	0.5–1	Part-time to start; full-time as catering scales
Delivery prep / Runner	1	Third-party order staging

8.4 Advisory

- Franchise attorney (FDD review), CPA (tax + entity structure), and the franchisor’s field support team
- Quarterly investor reporting cadence with the Section 11 KPI dashboard

9. Financial Plan

9.1 Startup Costs — \$300,000

Category	Cost	Notes
Franchise Fee	\$35,000	Non-negotiable
Build-Out / Leasehold Improvements	\$120,000	Second-gen space with existing kitchen
FF&E	\$60,000	Used/leased where sensible
Permits, Licenses & Legal	\$12,000	
Technology & POS	\$8,000	
Initial Inventory / Smallwares	\$15,000	
Pre-Opening Marketing & PR	\$15,000	Awareness before Day 1
Professional Fees	\$8,000	Legal, accounting, franchise counsel
Insurance (Year 1 premium)	\$5,000	
Working Capital Reserve	\$22,000	3–4 month cushion

Category	Cost	Notes
Total	\$300,000	

9.2 Funding Structure — 100% Investor Equity

Source	Amount	Terms
Investor Equity	\$300,000 (100%)	8% preferred + 60/40 profit share (illustrative, negotiable)
Debt	\$0	No debt, no SBA, no personal guarantee

Why no debt: with no loan service, every dollar of EBITDA belongs to operations and owners. EBITDA break-even in Month 2; cumulative cash positive Month 3; investor capital exposed to only two months of negative cash flow.

9.3 Key Financial Assumptions

Metric	Assumption	Basis
Average Ticket	\$15.00	Below actual (\$15.89) — conservative
COGS	29% of revenue	Halal proteins and African spices are premium
Total Labor (incl. owner salary)	30%	Owner salary \$60K included; 8-12 FTEs
Franchise Royalty	6% of gross revenue	Standard franchise structure
Marketing Fund	2% of gross revenue	Brand + local store marketing
Occupancy	\$4,200/mo	1,600 sq ft at \$24/sq ft NNN
Debt Service	\$0	All-equity structure
Operating Days	26/mo	Closed Thanksgiving, Christmas; limited Sunday

Metric	Assumption	Basis
Catering (Yr 1)	15–20% of revenue	Conservative vs. 25.7% actual — market case higher, financial case deliberately lower
Depreciation	FF&E 7-yr straight-line; Leasehold 10-yr	\$25.7K/yr
Franchise fee amortization	10-yr straight-line	\$3.5K/yr

Conservative Ramp-Up

Month	Covers/Day	Revenue	Rationale
1	50	\$19,500	Soft opening — phased hours, training focus
2	70	\$27,300	Word of mouth; catering pipeline starting
3	95	\$37,050	Post-grand opening; weekday lunch building
4	115	\$44,850	Regulars established; catering repeats begin
5	130	\$50,700	Dinner traffic building; delivery volume up
6	145	\$56,550	Steady-state approaching
7	155	\$60,450	Summer patio season
8	165	\$64,350	Back-to-school family dinner traffic
9	170	\$66,300	Fall catering cycle
10	175	\$68,250	Q4 holiday catering ramp
11	180	\$70,200	Pre-holiday catering push
12	185	\$72,150	Year-end steady state

Ramp is 10–15% slower than original projections — conservative for a first-time franchise owner in a new suburban market.

9.4 Year 1 Financial Summary

Metric	Amount
Revenue	\$637,650
COGS (29%)	(\$184,919)
Gross Profit	\$452,732
Operating Expenses	(\$359,253)
EBITDA	\$93,478 (14.7%)
Debt Service	\$0

Metric	Amount
Net Cash Flow	\$93,478
Return on \$300K	31.2%

9.5 Monthly Financial Projections

Item	M1	M2	M3	M4	M5	M6
Covers/Day	50	70	95	115	130	145
Revenue	\$19,500	\$27,300	\$37,050	\$44,850	\$50,700	\$56,550
COGS (29%)	(\$5,655)	(\$7,917)	(\$10,745)	(\$13,007)	(\$14,703)	(\$16,400)
Gross Profit	\$13,845	\$19,384	\$26,306	\$31,844	\$35,997	\$40,151
Labor (30%)	(\$5,850)	(\$8,190)	(\$11,115)	(\$13,455)	(\$15,210)	(\$16,965)
Occupancy	(\$4,200)	(\$4,200)	(\$4,200)	(\$4,200)	(\$4,200)	(\$4,200)
Royalty (6%)	(\$1,170)	(\$1,638)	(\$2,223)	(\$2,691)	(\$3,042)	(\$3,393)
Marketing (2%)	(\$390)	(\$546)	(\$741)	(\$897)	(\$1,014)	(\$1,131)
Other OpEx	(\$4,200)	(\$4,512)	(\$4,902)	(\$5,214)	(\$5,448)	(\$5,682)
EBITDA / Net CF	(\$1,965)	\$297	\$3,124	\$5,386	\$7,083	\$8,780
Cumulative CF	(\$1,965)	(\$1,668)	\$1,456	\$6,843	\$13,926	\$22,706

Item	M7	M8	M9	M10	M11	M12
Covers/Day	155	165	170	175	180	185
Revenue	\$60,450	\$64,350	\$66,300	\$68,250	\$70,200	\$72,150
COGS (29%)	(\$17,531)	(\$18,662)	(\$19,227)	(\$19,793)	(\$20,358)	(\$20,924)
Gross Profit	\$42,920	\$45,689	\$47,073	\$48,458	\$49,842	\$51,227
Labor (30%)	(\$18,135)	(\$19,305)	(\$19,890)	(\$20,475)	(\$21,060)	(\$21,645)
Occupancy	(\$4,200)	(\$4,200)	(\$4,200)	(\$4,200)	(\$4,200)	(\$4,200)
Royalty (6%)	(\$3,627)	(\$3,861)	(\$3,978)	(\$4,095)	(\$4,212)	(\$4,329)
Marketing (2%)	(\$1,209)	(\$1,287)	(\$1,326)	(\$1,365)	(\$1,404)	(\$1,443)
Other OpEx	(\$5,838)	(\$5,994)	(\$6,072)	(\$6,150)	(\$6,228)	(\$6,306)
EBITDA / Net CF	\$9,910	\$11,042	\$11,607	\$12,172	\$12,738	\$13,304
Cumulative CF	\$32,616	\$43,658	\$55,264	\$67,437	\$80,175	\$93,478

Milestones: Month 2 EBITDA positive · Month 3 cumulative positive (peak trough –\$1,965)
· Year-end net CF \$93,478 (31.2%)

9.6 Break-Even Analysis

Metric	Value
Monthly Fixed Costs	~\$8,400
Variable Cost Ratio	~67% (COGS 29% + Labor 30% + Royalty 6% + Mktg 2%)
Contribution Margin	~33%
Break-Even Revenue	~\$25,455/mo
Break-Even Covers	~65/day
EBITDA Break-Even	Month 2
Cumulative Positive	Month 3

9.7 Cash Flow Statement (Year 1)

Item	Year 1
EBITDA	\$93,478
Less: owner salary (already in EBITDA)	\$0
Less: capital expenditures (year 1)	(\$5,000) maintenance reserve
Operating Cash Flow	\$88,478
Debt service	\$0
Free Cash Flow to Investors	\$88,478

(Distributions follow the investor structure in 9.9; retained cash supports expansion.)

9.8 Projected Balance Sheet

Opening (\$300K raised):

Assets		Liabilities & Equity	
Cash	\$22,000	Liabilities	\$0
Inventory	\$15,000	Equity (investors)	\$300,000
FF&E	\$60,000		
Leasehold improvements	\$120,000		
Franchise fee (intangible)	\$35,000		
Pre-opening costs (capitalized)	\$48,000		
Total	\$300,000	Total	\$300,000

Year 1 End (illustrative — ties exactly):

Assets		Liabilities & Equity	
Cash (22,000 + 88,478 OCF)	\$110,478	Liabilities	\$0
Inventory	\$15,000	Equity: opening	\$300,000
FF&E (65,000 gross incl. \$5K capex, net of 8.6K dep)	\$56,429	Retained earnings	\$69,407
Leasehold (net of 12K dep)	\$108,000		
Franchise fee (net 3.5K amort)	\$31,500		
Pre-opening costs	\$48,000		
Total	\$369,407	Total	\$369,407

Math: D&A = FF&E 7-yr \$8,571 + leasehold 10-yr \$12,000 + franchise amort 10-yr \$3,500 = \$24,071 → net income ≈ \$93,478 – \$24,071 = \$69,407 before tax; operating cash flow = net income + D&A – \$5,000 maintenance capex = \$88,478. Balance sheet balances to \$369,407. Final detail with the CPA — planning estimates.

9.9 Investor Return Structure (Illustrative — Confirm Before Circulating)

Component	Amount	Year 1
8% preferred return on \$300K	\$24,000/yr	\$24,000
Remaining after preferred (\$93,478 – \$24,000)	\$69,478	—
60/40 split (investors/operator)	\$41,687 / \$27,791	—
Total Year 1 investor return		\$65,687 (21.9%)
Operator Year 1	\$27,791 + \$60,000 salary	\$87,791

Alternative (8% preferred + 50/50): investors \$58,739 (19.6%), operator \$34,739 + salary.

9.10 Sensitivity — Stress Test

Metric	Base	Stress (–20% covers, 32% COGS)
Revenue	\$637,650	~\$511,680 (≈ –20%)
EBITDA	\$93,478	\$36,090

Metric	Base	Stress (–20% covers, 32% COGS)
Margin	14.7%	7.1%
Return on \$300K	31.2%	12.0%
Cash position	Positive M3	Positive all year

Levers: labor to ~27% (owner lowers draw) · COGS to 27% · defer non-essential spend · accelerate catering outreach. The \$22K working capital reserve covers the base trough 10x over; stress case stays cash-positive.

9.11 Year 2 & Five-Year Outlook (No Debt)

Metric	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
Covers (avg)	~140	195	205	210	215
Revenue	\$637,650	\$780,000	\$842,000	\$885,000	\$925,000
EBITDA	\$93,478	\$148,000	\$168,500	\$182,000	\$195,000
EBITDA Margin	14.7%	19.0%	20.0%	20.6%	21.1%
Net Cash Flow	\$93,478	\$148,000	\$168,500	\$182,000	\$195,000
Cumulative Cash	\$93,478	\$241,478	\$409,978	\$591,978	\$786,978
Owner Salary (cum.)	\$60,000	\$125,000	\$197,000	\$275,000	\$360,000

5-year cumulative \$786,978 on \$300K = 262% (≈29% CAGR) + \$360K owner salary. Catering scaling to 25% of revenue drives margin expansion toward fast-casual best-in-class.

9.12 Funding Request & Use of Funds

Request: \$300,000 equity — all-investor funded, zero debt.

Use	Amount	%
Startup costs (one-time)	\$278,000	92.7%
Working capital reserve	\$22,000	7.3%
Total	\$300,000	100%

Deployment schedule: funds drawn at closing into the project LLC; build-out costs drawn against milestones (LOI → lease → permit → construction → opening); working capital reserve released to operations at soft opening.

10. Risk Assessment

10.1 Franchisor Readiness (Front Gate — verify BEFORE committing capital)

- **FDD availability** — is Afro Deli registered to franchise? Obtain and review the FDD
- **Existing franchisees** — how many franchise units exist beyond the 3 company locations?
- **Item 19 data** — financial performance representations available?
- **Litigation history** — FDD Items 3 & 4, franchise attorney review
- **Franchise Fee** — exact amount, promotional discounts
- **Royalty Structure** — 6% + 2% marketing; caps, minimums, local ad requirements
- **Training Program** — duration, location, owner-operator requirements
- **Territory Rights** — Woodbury-specific protection
- **Supply Chain** — approved supplier list, specialty ingredient requirements
- **Renewal Terms** — initial term and renewal conditions
- **Transfer & Exit Provisions** — resale and transferability

If the franchisor cannot demonstrate an active, registered franchise program with verifiable Item 19 data, investor capital should NOT be committed — this is a gate, not a formality.

10.2 Operating Risks & Mitigants

Risk	Mitigation
Slow ramp (50% of covers)	Projections already 15% below existing-location averages
Build-out cost overrun	Second-gen space required; lease contingent on kitchen inspection
Equipment failure	\$5K repair reserve; leasing options for key items
Catering slower than expected	Not dependent on catering — even at 0%, lunch traffic fills
Halal protein inflation	Portion control, supplier contracts, menu engineering
Labor pressure	Cross-trained staff, owner covers shifts, retention program
Lease escalation	5–7 yr initial term negotiated; renewal options defined

10.3 Compliance & Legal

- **Entity:** Minnesota LLC (member-managed, investor members) — formed before capital commitment
- **Franchise agreements:** attorney review of FDD + franchise agreement (Section 10.1)
- **Insurance:** general liability, property, workers' comp, D&O for the LLC (Year 1 premium \$5,000 budgeted)

- **Permits:** City of Woodbury business license, food service license, MN Dept of Health inspection, signage permits
- **Employment:** MN wage/hour compliance, I-9/E-Verify, halal handling certifications

11. Milestones & KPIs

11.1 24-Month Execution Calendar

Period	Milestones
Months 1-2	FDD review complete · investor terms signed · entity formed · raise \$300K
Months 3-4	Site LOI (kitchen-inspection contingent) · lease signed · franchise agreement signed
Months 5-6	Permits secured · build-out begins · franchisor training scheduled
Months 7-9	Build-out complete · equipment install · POS live · hiring + training
Month 10	Soft opening (50 covers/day ramp begins)
Month 11	Grand opening · marketing launch · catering pipeline live
Months 12-24	Ramp to 185 covers/day · 40+ catering accounts · dinner $\geq$ 20% · loyalty 2,000+

11.2 KPI Dashboard (monthly investor report)

KPI	Target (Month 12)	Early-warning threshold
Revenue	\$72,150/mo (185 covers)	< 80% of plan for 2 consecutive months
EBITDA margin	14.7%	< 10%
Labor %	30% incl. owner	> 34%
COGS %	29%	> 32%
Average ticket	\$15.00	< \$14.00
Catering %	15-20%	0% catering accounts by Month 6
Reviews	4.5★+, 40+/quarter	< 4.0★
Delivery %	$\geq$ 17%	—

12. Community Impact

Afro Deli is a social enterprise — the mission is part of the model, not a footnote:

- **Local hiring** — priority hiring from Woodbury and the Twin Cities East African community; career paths from crew to management
- **Halal food access** — a certified-halal option in a market with limited halal fast-casual choices
- **Cultural programming** — community events, cultural education, sponsorship of local soccer clubs and festivals
- **Economic inclusion** — minority-owned franchise model; supplier diversity where possible
- **Why it matters commercially:** the social-enterprise identity drives customer loyalty, media interest, institutional catering relationships (schools, medical, corporate DEI vendors), and workforce retention — a genuine competitive advantage, not charity

13. Real-World Validation

Projections calibrated against **actual POS data from all 3 existing Afro Deli locations** (June 2025–June 2026).

Metric	Actual (3-Loc Avg)	Woodbury (Yr 1)	Variance
Annual Revenue	~\$456,000	~\$638,000	+40% (higher income, no competition, growth)
Average Ticket	\$15.89	\$15.00	Conservative
Catering %	25.7%	15–20% → 25% by Yr 3	Conservative ramp
Labor % (excl. owner)	15–21%	25–27%	New-market operations
Delivery	17.1%	Included in covers	—
Lunch	55.7%	~50%	Dinner-building
Dinner	16.1%	~25%	Key growth thesis

14. Strategic Recommendation

Woodbury is the strongest entry point for the first suburban Afro Deli franchise — high income, 12% growth, competitive gap, favorable real estate, and proximity to existing operations.

Financial Summary

- EBITDA break-even **Month 2**; cumulative positive **Month 3**
- Year 1 EBITDA ~**\$93,500 — 31% on \$300K, zero debt**
- \$60,000 owner salary included in labor
- Stress-tested: –20% covers + 32% COGS still yields **12% Year 1 return**
- **No SBA loan, no personal guarantee, no interest burden**

Expansion Roadmap

Phase	Market	Timeline
Primary	Woodbury, MN	Year 1
Secondary	Minnetonka, MN	Years 3-5 (funded by Unit 1 cash flow)
Future	Edina, MN (express format)	Year 5+

Next Steps

1. Request and review the Afro Deli **FDD** (front gate, Section 10.1)
2. Validate Item 19 financial representations
3. Franchise attorney engagement
4. **Confirm investor structure** with prospective investors
5. Site selection (Tamarack Village / Woodbury Lakes / Valley Creek) — second-gen space preferred
6. Discovery day with franchisor
7. Open the **\$300K equity raise** once FDD + site LOI are in place

Pro-forma projections based on conservative assumptions. All figures are estimates pending FDD review, final site selection, and lease negotiation. Not a guarantee of financial performance.

15. Appendices

Appendix A — Market Data Sources: Metropolitan Council Growth Projections (COG) 2025 · ACS 5-Year Estimates 2020–2024 · Zillow/Redfin Home Value Data June 2026 · City of

Appendix B — Financial Assumptions Summary: ticket \$15.00 (actual \$15.89) · COGS 29% · labor 30% incl. \$60K owner · royalty 6% + marketing 2% · occupancy \$4,200/mo · **debt \$0 — 100% investor equity** · working capital \$22K · 26 operating days/mo · depreciation FF&E 7yr / leasehold 10yr · franchise amort 10yr

Appendix C — Capital Structure: \$300,000 investor equity, 100%, no debt/SBA/guarantee · illustrative terms 8% preferred + 60/40 · Yr 1 return 31.2% base / 12.0% stress

Appendix D — Existing Location Benchmarks: (3 locations, June 2025–June 2026) revenue \$480K/\$445K/\$442K · ticket \$16.12/\$15.74/\$15.81 · catering 26.1%/25.4%/25.5% · delivery 16.8%/17.3%/17.2% · lunch 55.2%/56.1%/55.8% · dinner 16.4%/15.9%/16.0% · labor 15–21% (excl. owner)

Appendix E — Competitive Pricing Snapshot: Chipotle ~\$10–12 · Naf Naf ~\$11–13 · Panera ~\$11–14 · Noodles & Co ~\$10–12 · Crisp & Green ~\$11–13 · Afro Deli \$15.00 (actual \$15.89) — premium justified by differentiation, validated by existing locations

Appendix F — FDD Verification Checklist: (Section 10.1 — 11 items)